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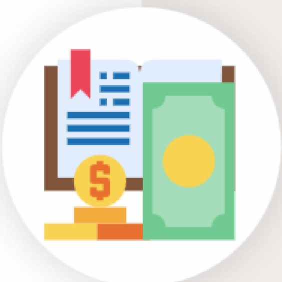
Notes

Cloud-based ERP

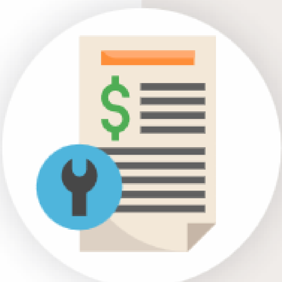
In a cloud-based model, the vendor hosts the ERP software or a third-party provider on remote servers accessible via the Internet.

The client organisation pays a subscription fee to access the ERP system and its functionalities, typically on a pay-per-use basis.

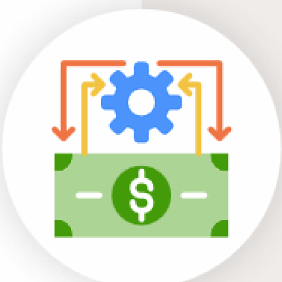
The subscription model often includes the following costs:



License cost: The fee charged by the vendor for using their ERP software.

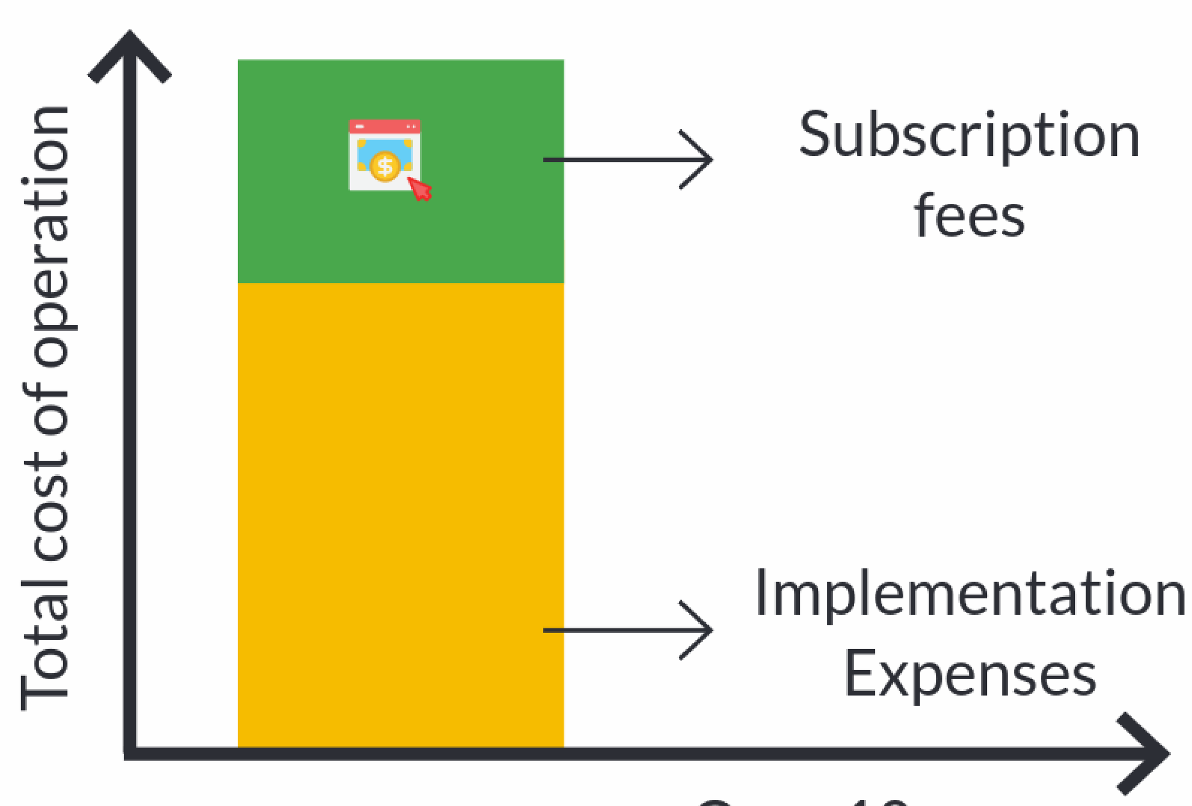


Annual maintenance fee: This fee is usually around 20-25% of the license cost. It covers product support, updates, and upgrades provided by the vendor.



Implementation costs: The expenses associated with configuring the ERP system to align with the organisation's processes, data migration, integration with existing systems, and user training.

The client bears the total cost of operation, including the subscription fees and implementation expenses, throughout the contract, which is often evaluated over 10 years. Consultants play a crucial role in conducting cost analyses and projecting the long-term financial implications of cloud-based ERP adoption.



Advantages of cloud-based ERP include lower upfront costs, automatic software updates, scalability, and remote access from anywhere with an internet connection. However, it also introduces dependencies on reliable internet connectivity and potential data security and privacy concerns.